

Cholamandalam Investment & Finance Company Ltd

Financials | Consumer Finance | Large Cap | <https://www.cholamandalam.com/>

Company Overview

Cholamandalam Investment & Finance Company is one of the premier diversified non-banking finance companies in India, engaged in providing vehicle finance, home loans and Loan against property.[1]

Financial Snapshot

Market Cap	■971,932 Cr	ROE	20.2%	Revenue CAGR	21.9%
P/E	16.79	ROCE	10.4%	PAT CAGR	23.4%
P/B	10.36	Net Margin	17.8%	EPS CAGR	22.3%
EV/EBITDA	13.52	Operating Margin	28.1%	Quality Score	70.00
Dividend Yield	2.8%	Debt / Equity	6.86	Interest Coverage	21.21
Asset Turnover	0.12	EPS	■41.00	Book Value	N/A

Investment Strengths

- Strong profit margins support healthy earnings.
- High operating margin reflects operational efficiency.
- Comfortable interest coverage reduces financial risk.
- Revenue has grown consistently over five years.
- Profit growth has remained consistently strong.
- EPS growth indicates increasing shareholder value.
- Healthy dividend yield rewards shareholders.

Investment Risks

- High debt increases financial risk.
- Negative free cash flow may constrain future growth.

Cash Flow Intelligence

Operational Weakness

Negative operating cash flow indicates weak core business performance.

Heavy Borrowing

Business depends on external financing instead of operations.

Cash Burn

Negative operating and net cash flow indicate sustained cash burn.

Capital Allocation

Latest Pattern: Growth Funded by Debt

Pattern History

Year	Pattern
2013	Distress Signal
2014	Growth Funded by Debt
2015	Growth Funded by Debt
2016	Growth Funded by Debt
2017	Growth Funded by Debt
2018	Growth Funded by Debt
2019	Growth Funded by Debt
2020	Growth Funded by Debt
2021	Growth Funded by Debt
2022	Distress Signal
2023	Growth Funded by Debt
2024	Growth Funded by Debt

Pattern Change Summary

Changed	Yes
From	Distress Signal
To	Growth Funded by Debt